

5.1 Inventory Management: What It Is

In general accounting practice, inventory management is a task that involves the recording and maintaining of logs of all goods that have been purchased and sold. Today, however, this task has expanded to include a real-time analysis of stock in the inventory, predicting how much stock will be required in the future, and how to allocate funds for purchasing various inventory items. Inventory management is also a process that keeps in check the cost of procuring and selling of goods, taking into account shipping, handling, and other related costs.

Successful inventory management aims at the following:

- a. Keeping a wide variety of stock, at the same time having enough stock of items that are sold regularly
- b. Keeping stock levels at an optimum, neither too low and neither too high
- c. Making purchases in bulk to avail lower prices and making sure that obsolete or slow-moving inventory is phased out

There are various hurdles, like geographic distribution and different time zones, in successfully deploying inventory management over a large business, but for a small business that is run on a single inventory, there are programs available that do the job well.

There is a lot of CMS software available in the market that caters to the needs of small and medium businesses. The only factor is the prohibitive cost of such software. However, there are a handful of free programs that can be useful for your small business. Let's look at two of the most popular and free inventory management tools.